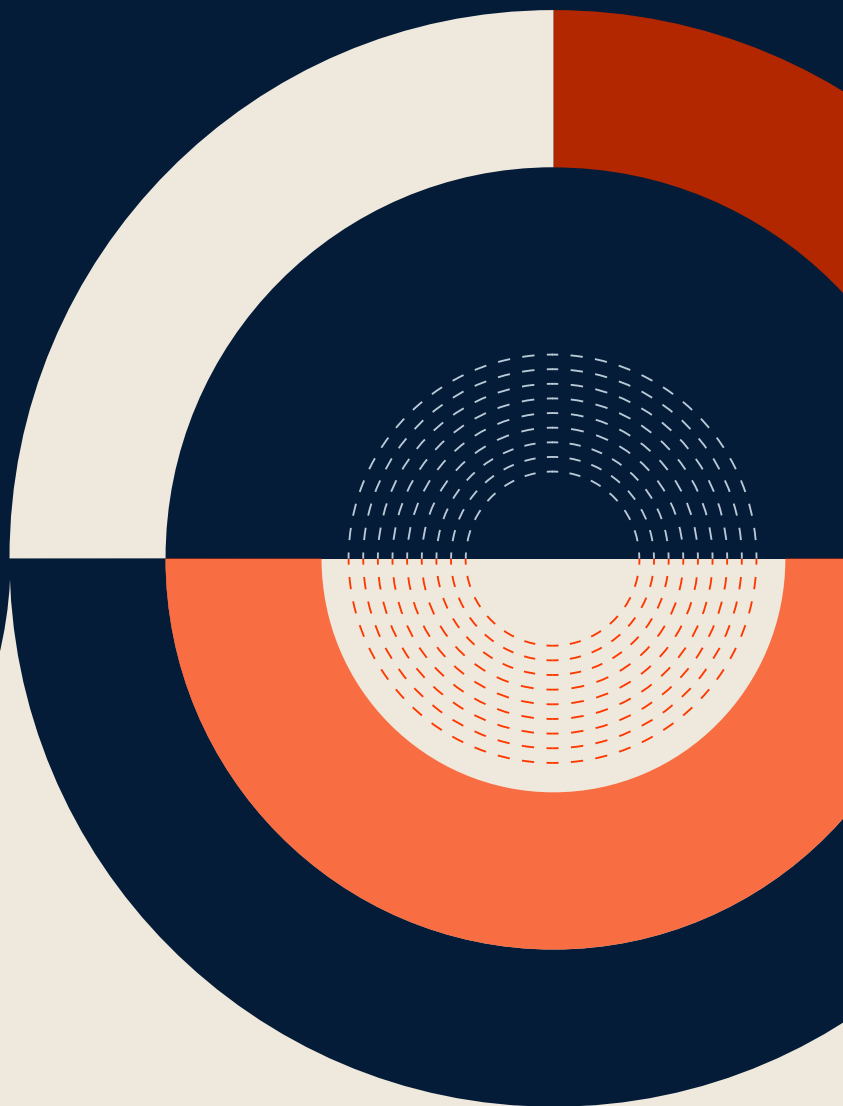
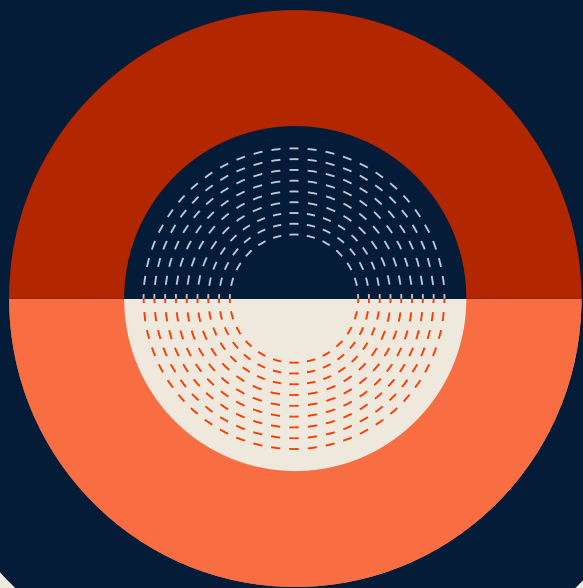




High-Yield Bond Weekly Wrap



Eyes peeled

Issuers frontloaded high-yield bond supply this week, sidestepping any potential volatility from the FOMC's pending rate decision and getting ahead of the Juneteenth market closure. As of midday Wednesday, pro forma volume in the week to June 20 totals \$5.93 billion, up from the \$2.55 billion inked last week.

Meanwhile, spreads edged wider and Treasury yields tumbled as fears that the US will be drawn into a war sent investors scurrying to safe havens and pushed oil prices to five-month highs. The average bid for LCD's 15-bond sample of liquid high-yield issues slipped 17 bps to 94.16% of par, from a 2025 high at 94.33 last week.

— Commentary, page 4

Stat of the week

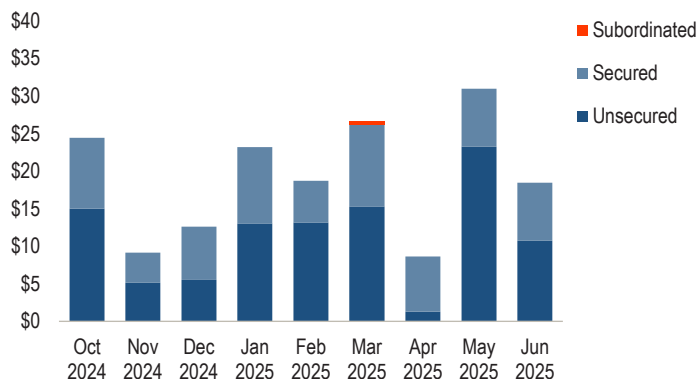
High-yield issuance is \$20 billion so far in June, higher than each full month of June from 2022-2024.

Recently completed high-yield deals

Issuer	Rating	Size (\$M)	Coupon	Maturity
Beacon Mobility	B-/B1	550	7.25%	2030
Cvent	B-/B3	325	8.00%	2030
Rithm Capital Corp	B-/B3	500	8.00%	2030
Under Armour Inc	BB-/B1	400	7.25%	2030
Level 3 Communications Inc	B+/B1	2,000	6.88%	2033
Unisys Corp	B+/B2	700	10.63%	2031
Global Partners LP	B+/B1	450	7.13%	2033
The New Home Company Inc	B/B2	300	8.50%	2030
Uniti Group Inc	CCC/Caa2	600	8.63%	2032
Whirlpool Corp	BB+/Ba1	600	6.50%	2033
Whirlpool Corp	BB+/Ba1	600	6.13%	2030
Acrisure LLC	B/B2	550	6.75%	2032
Dotdash Meredith Inc	BB-/B2	400	7.63%	2032
Planet Financial Group LLC	B-/Caa1	125	10.50%	2029
Rocket Mortgage LLC	BB/Ba1	2,000	6.38%	2033
Rocket Mortgage LLC	BB/Ba1	2,000	6.13%	2030
Clarios	BB-/B1	300	6.75%	2030
Rivian Automotive Inc	NR/NR	1,250	10.00%	2031
Ascent Resources	BB-/B1	500	6.63%	2033
Cogent Communications Holdings	BB/Ba2	600	6.50%	2032

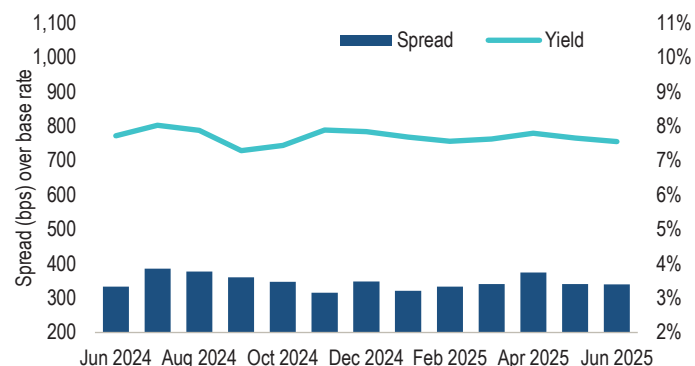
Source: PitchBook | LCD

New-issue high-yield volume, by month (through yesterday) (\$B)



Source: PitchBook | LCD

Average spread and yield for new-issue high-yield deals



Source: PitchBook | LCD

Average spread of high-yield flow names

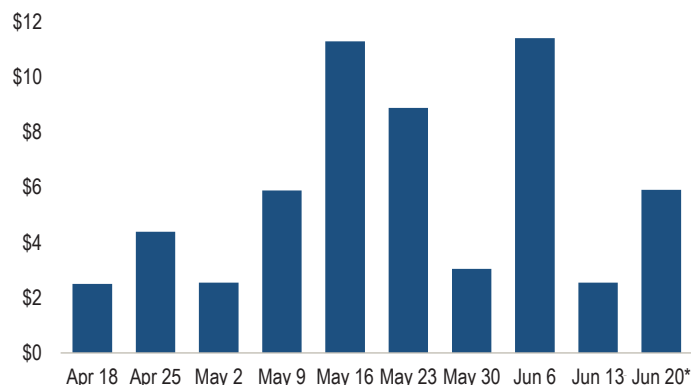


Note: vertical lines indicate dates when flow-name constituents were updated.

Source: PitchBook | LCD

Inside this week. . .

New-issue high-yield volume, by week (\$B)



*Pro forma

Source: PitchBook | LCD

High-yield primary: Running hot

page 4

Issuers frontloaded high-yield bond supply this week, sidestepping any potential volatility from the FOMC's pending rate decision and getting ahead of the Juneteenth market closure. As of midday Wednesday, pro forma volume in the week to June 20 totals \$5.93 billion, up from the \$2.55 billion inked last week. The ramped-up issuance provided a boost to June's tally, projected at nearly \$20 billion by Friday's close. That tops each full month of June from 2022-2024.

Recently completed high-grade deals

Issuer	Rating	Size (\$M)	Coupon	Maturity
Enterprise Products Partners L.P.	A-/A3	750	5.20%	2036
Enterprise Products Partners L.P.	A-/A3	750	4.60%	2031
Enterprise Products Partners L.P.	A-/A3	500	4.30%	2028
Hyundai Capital America Inc	A-/A3	500	5.40%	2032
Hyundai Capital America Inc	A-/A3	1,000	4.90%	2028
Hyundai Capital America Inc	A-/A3	600	5.10%	2030
Hyundai Capital America Inc	A-/A3	1,000	4.88%	2027
Hyundai Capital America Inc	A-/A3	400	NA	2027
Kite Realty Group Trust	BBB/Baa2	300	5.20%	2032
UnitedHealth Group Incorporated	A+/A2	750	5.95%	2055
UnitedHealth Group Incorporated	A+/A2	500	4.40%	2028

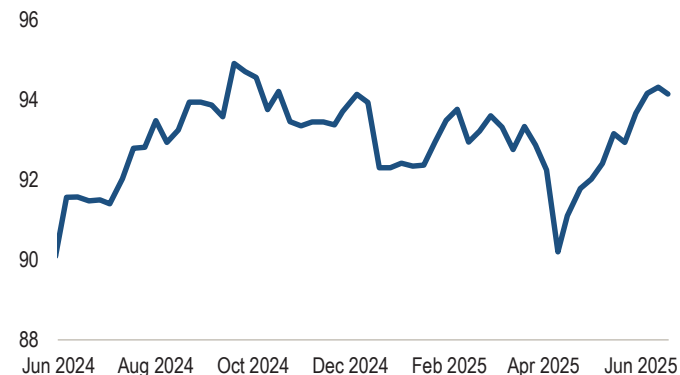
Source: PitchBook | LCD

High-grade: You'll never walk alone

page 6

June issuance reached \$64 billion (ex-SAS and hybrids) as issuers resolutely raise funds against daunting economic outlooks, abetted by resilient spread trends. Issuers cleared \$16.5 billion Monday and Tuesday ahead of a pause for the mid-week FOMC statement and Thursday market holiday. That met subdued syndicate projections. For reference, issuance was \$68 billion to the same point last June.

Average bid of high-yield flow names



Note: vertical lines indicate dates when flow-name constituents were updated.

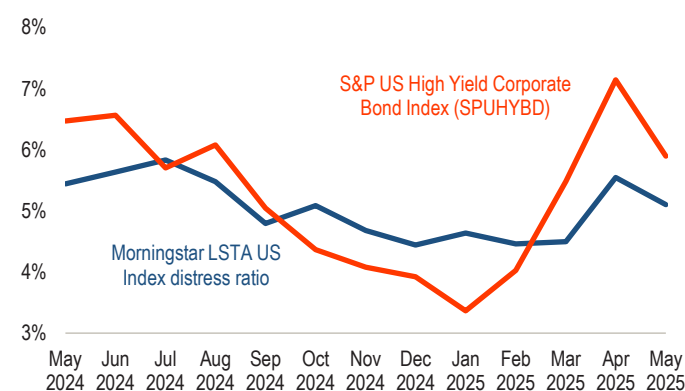
Source: PitchBook | LCD

High-yield secondary: Trading lightly

page 5

A looming Fed rate decision and an abbreviated trading week kept trading volume low, while geopolitical tensions and weak economic indicators contrived to keep the muted action mixed. Spreads edged wider and Treasury yields tumbled as fears that the US will be drawn into a war sent investors scurrying to safe havens and pushed oil prices to five-month highs. The average bid for LCD's 15-bond sample of liquid high-yield issues slipped 17 bps to 94.16% of par, from a 2025 high at 94.33 last week.

Distress ratio, bonds versus loans



Sources: PitchBook | LCD; S&P Dow Jones Indices

Distressed: C-suite

page 7

Distressed news in the holiday-shortened week was dominated by ratings changes, with most of them downgrades into or within the 'C' ratings categories. Among the downgrades, S&P downgraded offshore oil and gas exploration and production company **Kosmos Energy Ltd.** to CCC+, from B, citing a free operating cash flow (FOCF) deficit this year. S&P also downgraded Kosmos' unsecured debt rating to CCC, from B.

High-yield primary market: Running hot

Issuers frontloaded high-yield bond supply this week, sidestepping any potential volatility from the FOMC's pending rate decision and getting ahead of the Juneteenth market closure. As of midday Wednesday, pro forma volume in the week to June 20 totals \$5.93 billion, up from the \$2.55 billion inked one week prior.

The ramped-up issuance provided a boost to June's tally, projected at nearly \$20 billion by Friday's close (excluding the undetermined amount of **X.AI Corp.**'s proposed notes deal). That tops the totals for each full month of June from 2022-2024.

The high-yield asset class continues to trend in positive territory, seemingly unreactive to percolating geopolitical tensions. Per the S&P US Issued High Yield Corporate Bond Index, the seven-day return as of June 17 is 0.26%, for a month-to-date gain of 0.67%. The index has returned 3.37% on a year-to-date basis. High-yield spreads widened minimally during that timeframe, edging up four basis points to T+296, while the average yield to worst conversely shed five basis points to 7.30%. The triple-C ratings class led gainers this week, logging a 0.61% seven-day return, compared to 0.25% for BB bonds and 0.15% for B paper, the index shows.

Overall borrowing costs, including unsecured and secured bonds, have decreased in June, to 7.50%. The metric is currently the lowest for a single month since October 2024 and has tightened 16 bps from June 2024's 7.66%. However, stripping out unsecured debt placements shows issuers are paying up to clear deals, with senior bonds pricing with an average 7.42% yield month to date, from 7.03% in May. Thus far, secured

High-yield stats

\$ billion	This week	Last week	Change
Volume (pro forma)	\$5.93	\$2.55	\$3.38
Trailing 4-week average	\$5.74	\$6.48	-\$0.74
Flow-name price	94.16	94.33	-0.17
Flow-name yield	6.74%	6.70%	0.04%

YTD issuance	2025	2024	Change
Volume (pro forma)	\$128.06	\$157.37	-19%

Source: PitchBook | LCD

Note: Pro forma volume includes deals not yet completed.

debt placements have shaved off two points from May's close, declining to 7.61%, LCD data shows.

This week's refinancing-focused slate of deals was largely pitched as secured debt. Notably, **AMC Networks** was poised to print its proposed bonds with a higher interest expense. The global entertainment company approached investors with \$400 million of seven-year (non-call three) secured notes to fund a tender offer for up to \$450 million of its 4.25% senior notes due 2029 and pay an existing term loan A facility due 2026. The proposed bonds were marketed with initial mid-10% pricing thoughts; guidance later emerged in the 10.50% area. News of the issuance triggered ratings downgrades at S&P Global and Moody's, including a nudge lower to its secured debt to BB-/B2, from BB/Ba3, on concerns of operating challenges.

Level 3 Financing also shopped a refinancing effort, structured as eight-year (non-call three) first-lien senior secured notes, targeting existing 10.5% first lien secured notes due 2030, 10.5% first-lien senior secured notes due April 2029 and the partial redemption of 11% first-lien senior secured notes due November 2029. The new issue garnered decent demand, resulting in an upsize to \$2 billion, from \$1 billion.

The paper printed with a 6.875% coupon at par, at the midpoint of 6.75-7% guidance. Issue ratings are B+/B1/B+, with Moody's keeping the grade under review for upgrade. Moody's flagged a potential ratings lift for parent Lumen Technologies and Level 3 in May after it struck a deal to sell its mass market fiber-to-the-home business to AT&T for \$5.75 billion, the proceeds of which Moody's expects Lumen to use to reduce leverage by a full turn.

Away from offerings targeting existing debt, signs of a slight pickup in leveraged buyout (LBO) bond issuance are in sight.

Sizzling Platter has lined up \$500 million of seven-year (non-call three) senior secured notes for pricing next week to support Bain Capital's acquisition of the company from CapitalSpring. The issuer is also active in the loan market with a \$425 million term loan B and an \$80 million delayed-draw term loan transaction. Proceeds will also repay existing debt and add cash to the balance sheet.

Skechers USA is also eyeing \$1.75 billion in dollar and euro-denominated secured notes in the financing package backing 3G Capital's take-private of the company.

— Jakema Lewis

**The full 8-page report is
available through the
PitchBook Platform.**

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